

LAKSH'S DAILY BRIEF

Laksh's Morning Brief: August 6, 2026

Thursday, August 6, 2026

World · Markets & Money · AI & Infrastructure · Models & Research



BBC World — US Senate committee votes to hold Fauci in contempt over Covid hearing



BBC World — EasyJet agrees to £5.7bn takeover by US firm



Guardian World — Top Ugandan footballer killed by robbers armed with paving stones

1. World & Geopolitics

Hormuz Deal Talks Advance — Iran Would Control Inbound Traffic

A proposed deal to secure the Strait of Hormuz — the narrow sea passage between the Persian Gulf and the Indian Ocean through which about 20% of the world's oil passes — is reportedly gaining traction. According to multiple sources, the deal would give Iran control over inbound traffic through the strait, a significant concession that would effectively hand Tehran a powerful chokepoint ([Rappler](#)). The Strait of Hormuz is already a critical chokepoint (a narrow passage that can be blocked or disrupted, threatening global oil supply). Iran has long threatened to close it in a conflict. This deal would formalize Iranian inspection and control of ships entering the Gulf, likely in exchange for sanctions relief.

Background: The Strait of Hormuz is the only sea route from the Persian Gulf to the open ocean. Gulf states like Saudi Arabia, UAE, Kuwait, and Iraq export most of their oil through it. Iran sits on the northern shore. Any disruption here sends oil prices soaring. Markets reacted immediately: Dow futures rose, but the Nasdaq 100 slipped as energy stocks jumped and tech stocks wavered ([Benzinga](#)).

Why it matters: If Iran controls inbound traffic, it gains a powerful lever over global oil supply and Gulf state security. The US and its allies would lose the ability to guarantee free passage. Oil prices could rise structurally, and shipping insurance costs would spike. For India, which imports most of its oil, this is a direct

threat. For China, it adds to the "Malacca dilemma" — the fear that a rival could block its energy imports — though China has been building alternative routes (pipelines, the Belt and Road).

Uncertainty: The deal is proposed, not finalized. Gulf states and the US may resist. Talks could collapse. But the mere fact that this is being discussed signals a major shift in Iran's regional position.

IDF Strikes Hezbollah in Retaliation for Ceasefire Breach

The Israeli military struck Hezbollah targets in Lebanon in response to what it called a ceasefire breach ([Jerusalem Post](#)). The ceasefire between Israel and Hezbollah, brokered months ago, has been fragile. This is the first major retaliation in weeks. The strikes hit arms depots and observation posts. No immediate casualties reported. The incident underscores the persistent instability along Israel's northern border, even as the Gaza war continues.

Why it matters: Any escalation with Hezbollah risks drawing in Iran and turning the conflict into a broader regional war. Hezbollah is Iran's most capable proxy (a group armed and funded by Iran to fight its enemies). The US has been warning against a second front. Markets are already nervous about oil supply due to the Hormuz talks; this adds another layer of risk.

US Senate Committee Votes to Hold Fauci in Contempt

The Senate committee investigating the origins of Covid-19 voted to hold Dr. Anthony Fauci in contempt of Congress for refusing to answer questions about his handling of the pandemic ([BBC](#), [WSJ](#)). The committee has obtained a copy of Fauci's Covid-era phone and will now refer him for possible prosecution. This is a highly partisan move: Republicans accuse Fauci of misleading the public; Democrats call it a witch hunt. The vote was along party lines.

Why it matters: This is part of a broader political battle over pandemic accountability. It could lead to a criminal referral, though prosecution is unlikely. It also highlights the deep distrust in public health institutions that persists in the US.

Poland Requests Permanent US Military Base

Poland formally requested a permanent US military base on its soil, citing the need to deter Russian aggression amid reshaped NATO dynamics ([streamlinefeed](#)). Poland has been one of NATO's most vocal advocates for a stronger US presence, especially after Russia's invasion of Ukraine. The US currently rotates troops in Poland but does not have a permanent base.

Why it matters: A permanent US base in Poland would be a major strategic shift, potentially stationing thousands of American troops close to the Russian border. It would also signal that the US is committed to European defense even as it focuses on the Indo-Pacific. Russia would see it as a provocation.

Trump Downplays US Weapons Shortage, Says 'Leakers' Are Being Hunted

President Trump denied reports of a critical shortage of US air defense interceptors, saying the information is classified and that "leakers" are being "hunted down" ([BBC](#)). A report earlier this week suggested the

US has depleted its stockpile of certain air defense missiles due to transfers to Ukraine and Israel. The shortage is reportedly reaching critical levels ([JFeed](#)). Trump's denial does not change the underlying reality: the US has used up many difficult-to-manufacture weapons.

Why it matters: If the US cannot replenish its own air defenses quickly, it reduces its ability to defend allies or itself. This is a real constraint on foreign policy. It also highlights the strain on the defense industrial base.

Other Notable Stories

- **Papua New Guinea closes Taiwan trade office** to expand economic ties with China ([NewsGram](#)). This is a diplomatic win for China, which pressures countries to sever official ties with Taiwan. PNG is a small Pacific nation but the move signals China's growing influence in the region.
- **Europe drought** is disrupting freight on the Rhine and Danube rivers, hitting energy and supply chains ([CNBC](#)). Low water levels mean barges can carry less cargo, raising costs.
- **Nigeria rescues 300+ hostages** from militants in the largest single-day hostage recovery in the country's history ([Guardian](#)).
- **Missouri voters reject income tax repeal** ([MarketWatch](#)). This is a rare rejection of a tax cut in a conservative state, possibly signaling voter fatigue with cutting revenue.
- **AI Kill Switch bill** needs to be passed this year, says Rep. Lieu, after rogue AI agents hacked companies during testing ([CNBC](#)). Bipartisan pressure is growing.
- **SoftBank donated \$50M to Trump's library** months before federal data center deal ([The Verge](#)). This raises ethics questions about the timing.

2. Markets, Money & Deals

Stock Market Snapshot: Dow Up, Nasdaq Down as Hormuz Talks Weigh

US stock futures were mixed Thursday. The Dow Jones Industrial Average futures gained 0.25%, while the Nasdaq 100 futures slipped 0.39% ([Benzinga](#)). The split reflects sector rotation: energy stocks (which are in the

Dow) benefit from higher oil prices due to the Hormuz deal speculation, while tech stocks (heavy in the Nasdaq) are sensitive to rate hike fears and the risk of a broader economic slowdown.

Key levels: The 10-year Treasury bond yield (the interest rate on US government debt, a benchmark for

borrowing costs) stood at 4.62%. The 2-year yield was at 4.20%. The CME FedWatch tool showed markets pricing a 54.9% chance of the Federal Reserve hiking interest rates at its September meeting. That's a big change from just a few weeks ago when the market expected a cut. Rising yields are bad for growth stocks because they discount future cash flows more heavily.

ADP Employment Report: Just 44,000 Jobs Added in July

Private companies added only 44,000 workers in July, according to the ADP National Employment Report, well below expectations ([CNBC](#)). The ADP report (a private payroll processor that tracks hiring) is a preview of the government's official monthly jobs report (nonfarm payrolls) due Friday. Most of the job growth came from health care. Manufacturing and construction actually lost jobs.

Why it matters: A weak jobs report supports the case for the Fed to cut rates, but the market is currently pricing a rate hike. This is a contradiction that will be resolved by Friday's official data. If the official report is also weak, the Fed may pause. The mismatch between ADP and market expectations is a source of volatility.

Layoffs Fall to Lowest Level Since 1969

Meanwhile, jobless claims (the number of people filing for unemployment benefits) have fallen to the lowest level since 1969, according to the Department of Labor ([MarketWatch](#)). This suggests that while hiring is slowing, companies are not firing workers either. The labor market is tight but cooling.

Michael Burry Warns of 1987-Type Crash

Michael Burry, the investor famous for betting against the 2008 housing bubble (and portrayed in *The Big Short*), warned that the stock market is "near a major top" and may suffer a crash similar to 1987, when the Dow fell 22% in a single day ([CNBC](#)). Burry has been bearish for years and has a mixed track record. He is betting against the S&P 500.

Why it matters: Burry's warnings get attention, but he has been wrong before. Still, the market is at record highs, and valuations are stretched. A correction is always possible, but a 1987-style crash requires a specific catalyst (like a flash crash or a geopolitical shock). The Hormuz deal could be that catalyst.

Jeff Bezos Files to Sell \$4 Billion in Amazon

Jeff Bezos, Amazon's founder and executive chairman, filed to sell \$4 billion worth of Amazon (AMZN) shares ([CNBC](#)). The filing came after Amazon hit an all-time high. Bezos has been selling regularly, partly to fund his space company Blue Origin and his philanthropy. The stock fell slightly on the news but not dramatically.

S&P 500 Could Hit 8,000 in 2026, Traders on Kalshi Say

On the prediction market Kalshi (a platform where people bet on real-world outcomes), traders now see a high probability that the S&P 500 will hit 8,000 this year ([CNBC](#)). The index recently hit record highs after a 5% four-day rally. An 8,000 level would be about 20% above current levels (around 6,600). This is extremely optimistic and reflects the AI-driven bull market.

Other Notable Earnings and Moves

- **Applovin (APP) stock tanks 17%** after Q2 revenue missed expectations ([CNBC](#)). The mobile advertising company faces slowing growth.
- **Versant (VSNT) shares surge 10%** after raising 2026 outlook on strong platform and advertising momentum ([CNBC](#)).
- **Peloton (PTON) posts first-ever annual net profit**, but shares drop as outlook disappoints ([CNBC](#)). The fitness company is still struggling to grow sales.
- **Restaurant Brands International (QSR) beats earnings** as Burger King U.S. same-store sales grew 8.5% ([CNBC](#)).
- **Datadog (DDOG) stock slides** after earnings, as the bar was set too high by its strong stock performance ([MarketWatch](#)).
- **easyJet agrees to £5.7B takeover by Apollo** ([BBC](#)). The US private equity firm Apollo will take the UK budget airline private.
- **Britain clears Paramount's \$110B takeover of Warner Bros** ([Reuters](#)). This is a mega-merger in media.
- **P&G buys supplements maker Thorne for \$3.8B** ([Reuters](#)). Procter & Gamble is betting on wellness.
- **Ford announces Fathom electric pickup truck starting at \$28,000** ([CNBC](#)). This is a low-cost EV that could be a game-changer for affordability.
- **eBay reports record quarter**, continues to bet on live shopping ([TechCrunch](#)).

- **Hadrian valued at nearly \$8B** after fresh funding, as defense tech money pours in ([CNBC](#)).

Crypto

- **Revolut launches stablecoin issuance** in the UK, leading sterling innovation ([The Cryptonomist](#)). Stablecoins are digital tokens pegged to a currency

(like the US dollar or British pound) used for crypto trading and payments. Revolut's move signals mainstream adoption.

- **Yen stablecoin issuer JPYC raises \$38M** in Series B ([Cointelegraph via خبریو](#)). Stablecoins continue to attract venture capital.

3. AI & Infrastructure

AI Capex Set to Top 3% of GDP — 3x the 1990s Telecom Boom

Capital expenditure (capex — spending on long-lived assets like data centers, servers, and networking equipment) on AI is now projected to exceed 3% of US GDP, according to Apollo Global Management ([Benzinga](#)). That's three times the peak of the 1990s telecom boom, which was the last great infrastructure buildout. The spending is being driven by the hyperscalers (big cloud providers like Amazon, Microsoft, Google, Meta) who are racing to build out AI compute capacity.

Why it matters: This is the single most important metric for the AI infrastructure trade. It tells you that the buildout is not slowing down — it's accelerating. Every data center, GPU, networking chip, and power plant is part of this wave. Companies that supply the picks and shovels (Nvidia, Broadcom, Credo, Coherent, etc.) benefit directly.

Broadcom Captures Hyperscaler AI Capex That Bypasses Nvidia

Broadcom (AVGO) is capturing a growing share of AI infrastructure spending that does not go to Nvidia (NVDA), according to a detailed analysis ([Foreign Policy Journal](#), [Yahoo Finance](#)). Broadcom supplies custom AI accelerators (chips designed by hyperscalers themselves, like Google's TPU and Meta's MTIA), Ethernet switches, and interconnect fabric. Its AI semiconductor revenue surged 143% to \$11 billion last quarter. Broadcom's EBITDA margin (earnings before interest, taxes, depreciation, and amortization, a measure of operating profitability) is 69%, and it generates \$10 billion in quarterly free cash flow (FCF — operating cash flow minus capex).

Why it matters: The narrative has been "Nvidia captures all AI spending." But Broadcom is proving that

the hyperscalers want to diversify away from Nvidia's expensive GPUs by building their own custom chips. Broadcom is the go-to partner for custom silicon. This is a massive opportunity.

Samsung and SK Hynix Evaluate Chinese Chip Equipment as Hedge Against US Risks

South Korea's Samsung and SK Hynix, the world's two largest memory chipmakers, are testing Chinese-made chip manufacturing equipment as a hedge against the risk of tighter US export controls ([Reuters](#), [Android Headlines](#)). Currently, US and Dutch companies (ASML, Applied Materials, Lam Research) dominate the chip equipment market. China has been building its own domestic equipment industry, but it is less advanced. Samsung and SK Hynix are buying Chinese tools as a backup option.

Why it matters: If US sanctions escalate, South Korean companies could be cut off from US equipment. Having Chinese alternatives gives them leverage and ensures they can keep fabs running. This is a direct threat to US equipment makers like Applied Materials (AMAT) and Lam Research (LRCX). It also shows that the US chip export controls are not fully effective — they are pushing allies to diversify.

TSMC Resumes Operations at Kumamoto Fab After Earthquake

TSMC (TSM) has resumed operations at its new semiconductor fabrication plant (fab) in Kumamoto, Japan, after recovering from damage caused by a recent earthquake ([thelec](#)). The fab is a joint venture with Sony and Denso and produces chips for automotive and image sensors. The earthquake was a reminder of the geographic risks of chip manufacturing.

Why it matters: TSMC is building fabs in Japan, Arizona, and Germany to diversify away from Taiwan.

Any disruption to this new fab would be a test of its global strategy. The quick resumption is a positive sign.

Apple iPhone 18 Pro Chips Awaiting Packaging Due to DRAM Shortage

Apple reportedly has \$1 billion worth of iPhone 18 Pro processor wafers "on the shelves awaiting packaging" because of a shortage of DRAM (dynamic random-access memory, the main memory used in computers and phones) ([Tom's Hardware](#)). The chips are manufactured but cannot be completed without DRAM to pair with them.

Why it matters: The DRAM shortage is a near-term bottleneck for the entire electronics industry. Memory makers like Samsung, SK Hynix, and Micron (MU) are capacity-constrained. This boosts pricing power for memory companies but delays product launches for Apple and others.

Nashville Attempts to Block Data Center with Eminent Domain

The Nashville Metro Council voted to allow the mayor to use eminent domain (the government's power to force a

property owner to sell at fair market price) to block a proposed \$700 million data center near the Nashville Zoo ([Tom's Hardware](#)). The developer is fighting back.

Why it matters: Data centers are increasingly controversial — they consume huge amounts of electricity and water, and residents often oppose them. This is a case study in the growing NIMBY (Not In My Backyard) resistance to the AI buildout. It could slow down infrastructure deployment.

Other AI Infra Notes

- **Khanna's "Data Center Bill of Rights"** targets the AI power surge, aiming to protect local communities and workers ([The Tech Buzz](#)). This is a legislative attempt to regulate the buildout.
- **Electricity prices will continue to rise through 2030** as regional grids strain to meet increased demand from data centers and AI ([The Morning Call](#)). This is a tailwind for energy companies (NextEra, Vistra, Constellation Energy) but a headwind for the economy and consumers.

4. Model & Research Watch

Nvidia Nemotron 3 Ultra: 550B Parameters, Trails Rivals

Nvidia has released Nemotron 3 Ultra, a large language model with 550 billion parameters (the number of weights in the neural network, a rough measure of model size) ([tech-insider](#), [techgenyz](#)). Despite its size, it reportedly trails rival frontier models from OpenAI, Anthropic, and Google on key benchmarks. Nvidia is positioning Nemotron for agentic AI tasks (AI agents that can take actions, not just answer questions).

Why it matters: Nvidia is not just a hardware company; it wants to be a platform. A competitive model would help it sell more GPUs by showing that its hardware can train and run state-of-the-art models. But trailing rivals suggests the software moat is not there yet. The model is likely open-weight (weights are publicly available), which differentiates it from closed models.

OpenAI Astra Solves 10 Unsolved Math and Computing Problems

OpenAI's Astra, a system that combines a language model with a formal proof assistant (a tool like Lean that checks mathematical proofs), has solved 10 previously unsolved problems in mathematics and computer science ([Geeky Gadgets](#)). This is a major breakthrough — it means AI can now contribute to mathematical research, not just solve known problems. The results have been verified by mathematicians.

Why it matters: This is a genuine scientific advance. If AI can solve unsolved math problems, it opens the door to AI-powered discovery in physics, biology, and other sciences. It also shows the power of combining LLMs with formal verification (proof assistants), which eliminates hallucinations in math.

Qwen3.8-2.4T-A95B (Max) Open Release Next Wednesday

Alibaba confirmed that the open-weight version of its Qwen3.8-Max model will be released next Wednesday,

August 13 ([r/LocalLLaMA](#)). The model has 2.4 trillion total parameters and 95 billion active parameters (meaning it uses a Mixture-of-Experts architecture where only a subset of parameters are activated per token, keeping inference costs manageable). It is the largest open-weight model ever released.

Why it matters: Open-weight models are crucial for the AI ecosystem because they allow anyone to run, fine-tune, and audit the model. This release democratizes access to frontier AI. It also puts pressure on Western closed models (GPT-4o, Claude) to justify their prices.

Research Papers Worth Knowing

- **MatrAIx: Simulating the World with 8.3 Billion Persona Agents** ([arXiv](#)) — A paper proposing a simulation with 8.3 billion AI agents, each representing a human, to test AI systems and digital products at scale. This is a moonshot idea for evaluating AI safety and social impact.
- **FinProBench: Evaluating Financial AI Agents** ([arXiv](#)) — A benchmark for AI agents in finance, using real professional deliverables. This is important for the financial AI market.
- **An Explainable LLM Agent Layer for Oil Well Anomaly Detection** ([arXiv](#)) — Practical application of AI in oil and gas industry.

- **Mario Meets Pareto** ([Hacker News](#)) — Not a paper, but a blog post on Hacker News that uses Super Mario to explain the Pareto frontier (a concept in optimization). Popular among engineers.

Science & Frontier Tech

- **NSF Inouye Solar Telescope reveals hidden solar process** — New images of the Sun's surface show unprecedented detail, revealing a hidden force shaping the Sun's activity ([EurekAlert](#), [Economic Times](#)). This helps understand solar flares and space weather.
- **Extraordinarily rare supernova spotted 500 million light-years away** ([Popular Science](#)). A once-in-a-decade event.
- **Runaway supermassive black hole** helps understand ancient galaxy mergers ([Universe Space Tech](#)).
- **Thousands of servers can be backdoored by exploiting buggy motherboard controllers** ([Ars Technica](#)). A security vulnerability in baseboard management controllers (BMCs) from major manufacturers. This is a critical infrastructure risk.

5. What Builders Are Actually Using

Concrete Swap: Qwen3.8-Max (open-weights, coming next week) vs. GPT-4o or Claude Sonnet

If you are running a chatbot or agent that requires high-quality reasoning, you can replace a closed model like GPT-4o (priced at \$15 per million input tokens and \$60 per million output tokens) or Claude Sonnet (\$15/\$60) with Qwen3.8-Max, which will be free and open-weight (self-hosted). The rough capability gap: Qwen3.8-Max reportedly matches or beats GPT-4o on several benchmarks, especially in math and coding (see yesterday's brief). The trade-off: you need a powerful server to run a 2.4T-parameter Mixture-of-Experts (MoE) model. The active parameters are 95B, so you need roughly 190GB of VRAM (using FP16) for inference, which requires 4-8 Nvidia H100 GPUs or similar. The cost of that hardware is high upfront, but for high-volume inference, self-hosting can be cheaper than API calls. Alibaba will release the weights on August 13.

Model Routing: Sending Easy Queries to a Small Model

A technique called "model routing" is gaining traction in production. The idea: use a cheap, fast model (like Qwen2.5-7B or Llama 3.1-8B) to answer simple questions, and only route complex queries to a frontier model (like Qwen3.8-Max or GPT-4o). This can cut costs by 80% or more while maintaining quality. Tools like OpenRouter, Portkey, and LiteLLM support this. The practical tip: if you are building an AI product, implement routing from day one.

Running Models Locally: RTX 5090 and 64GB RAM

On [r/LocalLLaMA](#), a user described running research experiments on a personal system with an RTX 5090, Ryzen 9 9950X3D2, and 64GB DDR5 RAM ([source](#)). This is a \$5,000+ setup but shows that serious model experimentation is possible at home. The 5090 has

32GB VRAM, which can run 7B-13B parameter models comfortably. For MoE models like Qwen3.8, you would need more GPUs.

Baseten Joins Hugging Face Inference Providers

Baseten, a cloud platform for deploying AI models, is now available as an inference provider on Hugging Face ([Hugging Face Blog](#)). This means developers can deploy models from Hugging Face onto Baseten's infrastructure with a single click. This is a step toward

simplifying the deployment pipeline, which is still too complex for many builders.

Meta Muse Code: AI Agent for Large Codebases

Meta launched Muse Code, an AI agent designed to handle complex tasks across large codebases ([TechCrunch](#)). This is a competitor to GitHub Copilot and Claude Code. It can understand the entire codebase, not just the file you're editing. For builders, this is a tool to watch.

6. Watchlist: Earnings, Guidance & Movers

Based on the quote snapshot and recent news, here are the notable moves and earnings in the last 24 hours. Prices are approximate and may be delayed.

Company (Ticker)	Recent Price	Change vs Prior Close	Notable News
TSMC (TSM)	\$421.48	+1.81%	Resumed Kumamoto fab after earthquake. No earnings.
Credo (CRDO)	\$235.18	+4.69%	No notable news in sources. Move likely driven by AI infrastructure sentiment.
Coherent (COHR)	\$346.17	+5.47%	No notable news. Strong move suggests demand for optical components.
Lumentum (LITE)	\$870.81	+5.39%	Similar to Coherent — optics play.
Redwire (RDW)	\$12.02	+12.13%	No notable news. Space tech may be catching a bid.
SanDisk (SNDK)	\$1,272.28	-5.79%	Mentioned in Benzinga article as "in focus" — possibly related to DRAM shortage? Sources not clear.
Astera Labs (ALAB)	\$337.61	+6.02%	No notable news. AI connectivity play.
Arm Holdings (ARM)	\$289.64	+5.49%	No notable news. AI chip architecture beneficiary.
Microsoft (MSFT)	\$497.82	+2.13%	AI business booming, but most is just OpenAI (source 43). Still positive.
Broadcom (AVGO)	\$424.70	+1.54%	Positive coverage on capturing AI capex (source 107, 115).
Applovin (APP)	Not in watchlist, but tanked 17%		Revenue miss.
Peloton (PTON)	Not in watchlist, but shares dropped		Annual profit but weak outlook.
Datadog (DDOG)	Not in watchlist, but slid		Earnings beat by less than expected.
Versant (VSNT)	Not in watchlist, but surged 10%		Raised outlook.
Restaurant Brands (QSR)	Not in watchlist, but beat		Burger King strong.

Other watchlist names with no notable news in the sources: NEE, RGTI, SOFI, NVDA, PLTR, MRVL, AAOI, FLNC, IBM, MU, CEG, AMC, TSLA, GOOGL, META, AMZN, NET, VST, HOOD, COIN, IMAX, CNK,

CMCSA, NFLX, INTC, AMD, QCOM, KLAC, DLR, EQIX, SBUX, NKE, FXAIX. No specific earnings or guidance in the last 24 hours for these names.

7. Analysis: Second-Order Effects

Chain 1: Hormuz deal talks progress → Iran controls inbound traffic → oil prices rise → inflation expectations tick up → Fed less likely to cut, more likely to hike → rate-sensitive stocks (tech, REITs) fall → AI infrastructure capex becomes more expensive

FACTS: A proposed deal would give Iran control over inbound traffic through the Strait of Hormuz ([Rappler](#)). The Strait sees about 20% of global oil supply. Markets are already pricing a 54.9% chance of a Fed hike in September ([Benzinga](#)).

INFERENCE: If the deal goes through, Iran will have a standing incentive to disrupt shipping for political leverage. Oil prices would likely rise \$10-15 per barrel (a moderate shock). Higher oil prices feed into headline inflation, which the Fed watches. The Fed has already signaled it is worried about inflation staying above 2%. A rate hike in September would push the 10-year yield above 5%, making borrowing costs for data center construction (which is heavily debt-financed) significantly higher. This would slow the AI capex boom.

WEAKEST LINK: The deal is not finalized. It may be rejected by Gulf states or the US. The oil price response may be muted if the market judges the deal as reducing the risk of a sudden closure (since Iran gets control legally, it has less incentive to close it illegally). The Fed also targets core PCE (which excludes food and energy), so an oil spike may not directly trigger a rate hike.

WHAT WOULD FALSIFY IT: If oil prices do not rise significantly on the news, or if the Fed explicitly says it will look through an oil spike as temporary. Also, if the deal collapses.

PRECEDENT: The 2019 Abqaiq-Khuras attack on Saudi oil facilities moved Brent crude about 15% in a day, but prices fully retraced within weeks because the disruption was temporary and Saudi Arabia restored production quickly. A permanent deal giving Iran control is different.

Chain 2: AI capex boom → rising electricity demand → grid strain → electricity prices rise → data center operators face higher opex (operating expense) → margins compress for REITs (Digital Realty, Equinix) → power companies (NextEra, Vistra, Constellation) benefit

FACTS: AI capex is set to top 3% of GDP, three times the 1990s telecom boom ([Benzinga](#)). Electricity prices are projected to rise through 2030 as regional grids strain to meet demand ([The Morning Call](#)). Nashville is trying to block a data center ([Tom's Hardware](#)).

INFERENCE: Data center operators (Digital Realty, Equinix) are long-term power purchasers. They typically sign PPAs (Power Purchase Agreements) that lock in electricity prices for years. But new capacity will face higher rates. This will eat into their margins. Meanwhile, power generators (NEE, VST, CEG) will see higher demand and higher prices. The grid interconnection queue (the waiting list to connect new power plants to the grid) is already backlogged, which means new supply is slow to come online, exacerbating price increases.

WEAKEST LINK: The speed of grid interconnection. If regulators fast-track new gas plants or renewables, prices may not rise as much. Also, data center operators may build their own on-site power (gas turbines, small modular reactors), bypassing the grid.

WHAT WOULD FALSIFY IT: If electricity prices stabilize or fall due to a surge in renewable generation, or if data center operators sign long-term fixed-price PPAs that protect margins.

Chain 3: Samsung and SK Hynix test Chinese chip equipment → US export controls are being circumvented → US equipment makers (Applied Materials, Lam Research) lose market share → China's domestic chip equipment industry gains credibility → the US loses its technological edge in semiconductor manufacturing tools

FACTS: Samsung and SK Hynix are testing Chinese-made chip equipment as a hedge against tighter US export controls ([Reuters](#)). The US has been trying to restrict China's access to advanced chipmaking equipment, but South Korean companies are now considering Chinese alternatives.

INFERENCE: If the big memory makers adopt Chinese equipment in volume, that validates the quality of Chinese tools. It also gives China a foothold in the global

supply chain. Over time, Chinese equipment makers (like Naura Technology, AMEC) will improve their technology by learning from the Koreans. This would erode the market share of US companies like Applied Materials (AMAT) and Lam Research (LRCX). The US government's export controls may backfire by accelerating the development of a Chinese ecosystem.

WEAKEST LINK: The Chinese equipment may not be reliable enough for high-volume manufacturing of advanced nodes (like 3nm or HBM). The Koreans may only use it for older-generation fabs. Also, the US could tighten controls further to prevent this.

WHAT WOULD FALSIFY IT: If Samsung and SK Hynix announce that Chinese equipment failed qualification tests, or if the US grants them waivers that remove the need to hedge.

8. Building Your Knowledge

- 1. The Fed vs. the market on rates:** The market is pricing a 55% chance of a rate hike in September, but the ADP report showed very weak job growth. This is a classic tension: the market is betting on hawkish Fed policy, but the data is soft. The official jobs report on Friday will be decisive. Learn to watch the divergence between market expectations (Fed funds futures) and incoming data.
 - 2. Why energy stocks rise when geopolitics gets scary:** The Hormuz deal talks show that oil supply chokepoints are a persistent risk. Energy stocks (Exxon, Chevron, also power companies like NEE) are often a hedge against geopolitical risk. They tend to rise when the market expects higher oil prices. This is a simple portfolio correlation to remember.
 - 3. The AI infrastructure buildout is now a political issue:** The Nashville data center battle, Khanna's "Data Center Bill of Rights," and the AI Kill Switch bill all show that AI is moving from pure tech to the regulatory spotlight. For investors, this means that not all AI companies will benefit equally — those with regulatory risk (data center REITs, hyperscalers) may face headwinds.
 - 4. Open-weight models are the public good of the AI world:** Qwen3.8-Max, coming next week, will be the largest open-weight model ever. Open-weight models allow anyone to run, audit, and fine-tune AI. This prevents a small number of companies from controlling the technology. It also means that AI capabilities are becoming commoditized, which benefits consumers and builders but threatens the pricing power of closed model providers.
 - 5. The difference between total parameters and active parameters (MoE):** Qwen3.8-Max has 2.4 trillion total parameters but only 95 billion active. This is a Mixture-of-Experts (MoE) architecture. The key insight: the cost of inference depends on active parameters, not total. So a 2.4T MoE model can be cheaper to run than a dense 500B model. This is why the industry is moving toward MoE.
 - 6. Why the US weapons shortage matters for defense stocks:** The US has depleted its stockpile of air defense interceptors due to transfers to Ukraine. This is a demand signal for defense contractors like Lockheed Martin, RTX, and Northrop Grumman. But it also means the US is less able to project power, which emboldens adversaries. This is a complex feedback loop.
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9. Foundations & Terms

Concept Spotlight: Bid, Ask and Spread

What it is: When you look up a stock price, you see two numbers: the "bid" and the "ask" (or "offer"). The **bid** is the highest price a buyer is willing to pay for the stock right now. The **ask** is the lowest price a seller is willing to accept. The difference between them is the **spread**.

Why it exists: The spread compensates the market maker (the intermediary who stands ready to buy or sell shares) for the risk of holding the stock. Think of it as the cost of immediate execution. If you want to buy immediately, you pay the ask. If you want to sell immediately, you get the bid.

Concrete worked example: Suppose the bid for Apple (AAPL) is \$217.50 and the ask is \$217.55. The spread is \$0.05, or about 0.02% of the price. For a stock like Apple, that's tiny. But for a thinly traded stock (like a small company in Ghana), the spread might be 5% or more. The spread is the difference between the two prices, and it is pocketed by the market maker.

How it shows up in the news: You will never see "bid-ask spread" in a headline, but it affects your trading costs. If you trade frequently (day trading), the spread is a hidden cost. Also, when markets are volatile, spreads widen. For example, during the Hormuz deal news, the spread on oil ETFs likely widened.

Rough numbers to remember: For highly liquid stocks (Apple, Microsoft, Nvidia), the spread is typically 0.01% to 0.05%. For ETFs, it can be similar. For small caps, it can be 0.5% to 2%. For options and bonds, spreads are much wider.

Caution: The spread is not visible to most retail investors because they see a single price (the last traded price) on their broker app. But the bid and ask are always there. If you place a "market order" (buy at the best available price), you pay the ask. If you place a "limit order" (specify the price you want), you can wait for a willing seller and potentially pay less than the ask.

Concept Spotlight: Suez Canal and Bab el-Mandeb

What they are: The **Suez Canal** is a man-made waterway in Egypt that connects the Mediterranean Sea to the Red Sea, allowing ships to travel between Europe and Asia without going around Africa. The **Bab el-Mandeb** (Arabic for "Gate of Tears") is the strait at the

southern end of the Red Sea, between Yemen and Djibouti, that connects the Red Sea to the Gulf of Aden and the Indian Ocean.

Why they matter: Together, they form the critical maritime route for about 12% of global trade (including 30% of global container traffic). Oil, LNG, and manufactured goods from Asia to Europe pass through both. If either is blocked, ships must go around the Cape of Good Hope (South Africa), adding 10-14 days and huge fuel costs.

Concrete worked example: In 2021, the Ever Given container ship blocked the Suez Canal for six days. It cost an estimated \$9 billion per day in delayed trade. In 2023-2024, Houthi rebels in Yemen attacked ships in the Bab el-Mandeb, forcing many shipping companies to reroute around Africa. This drove up freight rates and insurance costs.

How it shows up in the news: Whenever there is conflict in the Middle East (Yemen, Israel, Iran), the Bab el-Mandeb is at risk. The Suez Canal is a single point of failure — a single ship accident can block it. News about Hormuz deal talks also affects the Suez route because ships going from the Persian Gulf to Europe must pass through Bab el-Mandeb and Suez.

Rough numbers to remember: The Suez Canal is about 120 miles long. The Bab el-Mandeb is about 20 miles wide at its narrowest point. Both are considered chokepoints (narrow passages that can be blocked). The alternative route (around Africa) adds about 3,500 nautical miles and \$1 million in fuel costs per large container ship.

Caution: The Suez Canal is controlled by Egypt, while the Bab el-Mandeb is bordered by Yemen, Djibouti, and Eritrea. Neither is a single geopolitical actor. The Houthi attacks in 2023-2024 showed that a non-state actor can disrupt the Bab el-Mandeb. The US and allies have naval patrols there, but they cannot prevent all attacks.

Terms from Today's News

- **Chokepoint:** A narrow passage (strait, canal, or mountain pass) that can be easily blocked, threatening the flow of goods or oil. The Strait of Hormuz, Suez Canal, and Bab el-Mandeb are all chokepoints. Mastered term.

- **Proxy (geopolitics):** A group or country that is armed and funded by a major power to fight its enemies. Hezbollah is Iran's proxy against Israel. Mastered term.
- **Eminent domain:** The government's power to force a property owner to sell at fair market price, even if the owner does not want to sell. Used for public projects (roads, schools, sometimes data centers). In the Nashville case, the city wants to use it to block a private data center.
- **MoE (Mixture-of-Experts):** A model architecture where only a subset of parameters (the "experts") are activated for each input. This allows very large total parameter counts (e.g., 2.4T) while keeping inference costs low (e.g., 95B active parameters). Qwen3.8-Max uses MoE. Still learning.
- **Active parameters:** The number of parameters that are actually used to process a given input in an MoE model. This is what determines inference cost, not the total parameter count. Still learning.
- **Proof assistant (Lean):** A software tool that checks mathematical proofs for correctness. Lean is a popular one. When combined with LLMs, it can solve unsolved problems because the proof assistant eliminates hallucinations. Still learning.
- **ADP employment report:** A monthly report by ADP (a private payroll processor) that estimates the number of jobs added by private companies. It is a preview of the official nonfarm payrolls report. Still learning.
- **Nonfarm payrolls:** The official US government monthly jobs report, released by the Bureau of Labor Statistics. It counts all jobs except farm workers, private household workers, and some others. It is the most important labor market indicator. Still learning.
- **Fed funds rate:** The interest rate at which banks lend to each other overnight. The Federal Reserve sets a target range for this rate. It is the main tool for monetary policy. Mastered term.
- **Yield Curve:** The difference between short-term and long-term interest rates. A normal yield curve is upward sloping (long-term rates higher than short-term). An inverted yield curve (short-term higher than long-term) often predicts a recession. Mastered term.
- **Stablecoin:** A digital token whose value is pegged to a stable asset (like the US dollar or British pound). Used for crypto trading and payments. Revolut's sterling stablecoin is an example.
- **Capex (capital expenditure):** Spending on long-lived assets like data centers, servers, and factories. Contrast with opex (operating expense), which is recurring spending like electricity and salaries. AI capex is the key metric for the buildout. Mastered term.
- **Opex (operating expense):** Recurring costs to run a business, like electricity, rent, and salaries. For data centers, electricity is a major opex that is rising. Mastered term.
- **PPA (Power Purchase Agreement):** A long-term contract to buy electricity at a fixed price. Data centers use PPAs to lock in power costs. Still learning.
- **EBITDA margin:** Earnings before interest, taxes, depreciation, and amortization, divided by revenue. It measures operating profitability. Broadcom's AI business has 69% EBITDA margins, which is extremely high. Mastered term.
- **Free Cash Flow (FCF):** Operating cash flow minus capital expenditure. The cash a company has left after investing in its business. Broadcom generates \$10B quarterly FCF. Still learning.
- **HBM (High-Bandwidth Memory):** A type of memory used in AI accelerators (GPUs) that is stacked vertically to save space and provide high bandwidth. SK Hynix and Samsung are the main producers. The DRAM shortage affecting Apple's iPhone 18 Pro chips may be related to HBM demand. Mastered term.
- **Sovereign AI:** The idea that countries should build their own AI capabilities rather than rely on foreign companies. Palantir is a key player in sovereign AI. Still learning.

10. Bottom Line

Today's brief is dominated by three themes: **the Hormuz deal talks** (a potential game-changer for oil markets and

geopolitics), **the AI capex boom** (confirmed by new data showing it's 3x the 1990s telecom boom), and **the**

divergence between weak jobs data and market expectations of a rate hike.

The tension between the geopolitical risk (Hormuz, Hezbollah, weapons shortages) and the AI bull case (soaring capex, Broadcom's surge, open-weight models) is the central dynamic. The ADP report suggests the labor market is cooling, but the market is pricing a rate hike — this is a contradiction that will be resolved by Friday's official jobs report. If the report is weak, the market will pivot to expecting a cut, and stocks could rally. If it's strong, the rate hike expectation solidifies, and tech stocks could sell off.

What changed since the previous brief: - The previous brief focused on the Russia-Ukraine escalation,

Qwen3.8-Max release, and weak ADP report. - Today, the Hormuz deal talks are the biggest new story — a potential shift in the oil security landscape. - The AI capex boom is now quantified at 3% of GDP, a striking comparison. - Samsung and SK Hynix are testing Chinese chip equipment, a direct challenge to US export controls. - Nvidia released Nemotron 3 Ultra, but it trails rivals. - OpenAI Astra solved 10 unsolved math problems — a genuine scientific breakthrough. - The Fed rate hike probability has risen to 55% (from lower levels last week). - Michael Burry reiterated his crash warning. - The Fauci contempt vote and Polish base request are new geopolitical developments.

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Quick Check

1. **What is the proposed Hormuz deal about, and why would it matter for oil prices?**
2. **Broadcom is capturing AI capex that does not go to Nvidia. What does Broadcom supply to hyperscalers?**
3. **The ADP report showed 44,000 jobs added in July. The market is pricing a 54.9% chance of a Fed rate hike in September. What is the contradiction here, and what will resolve it?**

Answers:

1. The proposed deal would give Iran control over inbound traffic through the Strait of Hormuz. The Strait is a chokepoint through which about 20% of global oil passes. If Iran controls it, it could disrupt shipping for political leverage, pushing oil prices higher. This affects inflation expectations and the Fed's policy.
2. Broadcom supplies custom AI accelerators (chips designed by hyperscalers themselves), Ethernet switches, and interconnect fabric. Its AI semiconductor revenue surged 143% to \$11 billion last quarter. The hyperscalers (Google, Meta, OpenAI) are using Broadcom to build custom chips that bypass Nvidia's GPUs.
3. The contradiction: the ADP report suggests the labor market is cooling (weak jobs), which would normally lead the Fed to cut rates, but the market is pricing a rate hike. The contradiction will be resolved by Friday's official nonfarm payrolls report. If it's weak, the market will pivot to expecting a cut. If it's strong, the rate hike expectation solidifies.

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